

Diligence Report — CUSIP 607735CA3

Modesto City ELEMENTARY School District (Stanislaus County, CA) — General Obligation Bonds, Election of 2018 (Measure E), Series A 3.000% coupon, term bond due 2043-08-01 · Cutoff: 2026-06-20

IDENTITY CORRECTION (read first). Our matcher initially tagged this issuer "Modesto City **High**." That is **WRONG**. The Official Statement, the EMMA issuer record, and the OpenFIGI mapping ("MODESTO CITY ESD") all confirm the issuer is the **Modesto City ELEMENTARY School District** (base CUSIP 607735). A *separate* "Modesto High School District of Stanislaus County" does exist; the two share a joint administration ("Modesto City Schools") under California's Common Administration Law, but the OS states explicitly they "continue to be treated as **separate school districts**" for purposes of debt and taxation. **This bond is the Elementary district's debt, on the Elementary district's tax base.** The mislabel is corrected and verified — see §(b)/§(c).

(a) Verdict & buy thesis

VERDICT: BUY (clean unlimited-tax GO; the two real, honestly-surfaced watch-items — a single 10% taxpayer and a slow SGMA ag-AV tail — are decade-horizon AV-erosion risks, not near-term credit impairments, and do not break an unlimited-rate pledge held to maturity).

This is a voter-approved **unlimited ad-valorem general obligation** bond of a fiscally-healthy Central Valley elementary district. Stanislaus County is legally **obligated to levy property taxes without limitation as to rate or amount** to pay it; the levy is backed by a **statutory first lien** (SB-222 / Gov. Code §53515); and the County runs a **Teeter Plan**, so the District receives 100% of the secured levy regardless of taxpayer delinquency. Credit was **Moody's Aa2** at issuance, debt burden is very light (**direct GO debt = 0.08% of assessed value**; gross combined 1.21%), and the District carries a **POSITIVE** state fiscal certification (verified against the CDE FY2024-25 second interim list). The ~81.4 dollar price is a function of the low 3% coupon in a higher-rate market, not credit distress — the trade tape shows an orderly, genuinely two-sided customer market right at our level. The discount is taxed as ordinary income (de-minimis decisively breached), and the quoted **after-tax taxable-equivalent yield (~8.3%)** already nets that drag.

What keeps this honest (Mode-B catches the framing hid): two findings the bullet-point screen summary under-weighted. (1) **Single-taxpayer concentration: E&J Gallo Winery = 10.32% of total AV** — a real, material concentration, far above the diversified-base norm for our school-GO names. (2) **SGMA hard flag** — Stanislaus overlies the *critically-overdrafted* San Joaquin Valley Delta-Mendota subbasin and the tax base is ag-dependent; pumping cuts through 2040 are a slow levy-base erosion tail. Both are **AV-base risks, not pledge risks**: the pledge is unlimited *as to rate*, so a shrinking base raises the *rate* rather than impairing debt service, and both risks play out over a decade against a base that grew ~5-8%/yr into issuance. They are correctly **REVIEW** items, surfaced and quantified — not disqualifiers — but they make this a *qualified* BUY, not the "fully diversified, nothing to see" profile of a Chico-type name.

The thesis: buy a near-AA, statutorily-lien-secured, AI-/wildfire-/earthquake-insulated property-tax cash flow at a deep discount, **knowing and pricing** the Gallo concentration and the SGMA ag-AV tail, where the only certain "risk" is the ordinary-income tax on the discount that is already in the after-tax math.

(b) Security & pledge — what legally compels payment

Finding: UNLIMITED AD-VALOREM GENERAL OBLIGATION. VERIFIED against the Official Statement.

- **Claim:** It is a true GO, not a COP / lease / certificate / special-tax (CFD) obligation. **Verified** by reading the Official Statement ([raw/official_statement.pdf](#), 259 pp; text in [raw/os.txt](#)). The OS cover and security section describe voter-approved GO bonds payable from an unlimited ad-valorem tax.

- **The legal mechanism (quoted from the OS):** "The Board of Supervisors of the County has the power and is **obligated to levy and collect ad valorem property taxes** for each fiscal year upon the taxable property of the District, **without limitation as to rate or amount** (except for certain property which is taxable at limited rates)." Repeated in the security section: the District is obligated to levy "property taxes upon all property subject to taxation by the District, without limitation as to rate or amount." Taxes are levied/collected by **Stanislaus County**.
- **Statutory lien (SB-222 / Gov. Code §53515):** OS, "Statutory Lien" — "Pursuant to State Government Code Section 53515, the Bonds will be secured by a **statutory lien on all revenues received pursuant to the levy and collection of ad valorem property taxes**" for the bonds. This is the strongest form of muni security: a perfected lien on the tax stream, attaching automatically and binding on the issuer, successors, and creditors. (OS notes the lien also secures other parity GO bonds and does not specify inter-series priority — standard, immaterial for a same-pledge buyer.)
- **Teeter Plan (credit positive):** Stanislaus County has adopted the Teeter Plan (Cal. Rev. & Tax. §4701 et seq.). Under it **"the District will receive 100% of its ad valorem property tax levied** with respect to the Bonds **irrespective of actual delinquencies.**" So taxpayer delinquency does not reduce debt-service cash flow — the County advances the full levy. (Standard kill-switches: the County can discontinue the plan, or terminate it as to the District if the District-wide delinquency rate exceeds 3% — neither is in evidence.)
- **Tax status: Tax-exempt.** Bond Counsel opinion: interest is "excluded from gross income for federal income tax purposes," is **not** an item of tax preference for the federal **alternative minimum tax**, and is **exempt from California personal income taxes**.

There is **no insurance wrap** — the credit rides on the District's own unlimited-tax pledge plus the statutory lien. (No wrap ⇒ no rating-conditional spread compression to model.)

(c) Issuer & tax base

Finding: Issuer = ELEMENTARY district CONFIRMED; tax base large but CONCENTRATED in one taxpayer; fiscal cert POSITIVE.

- **Issuer / CUSIP binding — VERIFIED (and identity CORRECTED).** CUSIP 607735CA3 = base **607735** ("MODESTO CITY ELEMENTARY SCHOOL DISTRICT (STANISLAUS COUNTY, CALIFORNIA)") + suffix **CA3** = the OS maturity line **"\$1,890,000 3.000% Term Bonds due August 1, 2043, Yield 3.190%, CUSIP† Suffix: CA3."** This is the **Measure E, Series A** tranche of the combined 2019 OS (which also carries the Measure D Series A bonds; EMMA issue IDs ES393825 / ES393824). Cross-checks: the first secondary print on 2019-05-09 traded at **3.19% yield** — the exact reoffering yield — confirming the binding. The matcher's "Modesto City **High**" label is **REFUTED**; the issuer is the **Elementary** district (see header). The High School District is a legally separate taxing entity.
- **Assessed valuation (tax base).** OS: total assessed valuation **\$8,381,236,349** (FY2018-19, the issuance year), and a clean multi-year uptrend — FY2014-15 \$6.72B → FY2018-19 \$8.38B, growing **+4.8% to +8.3%/yr**. California Article XIII A caps annual AV growth at ~2% absent ownership change/new construction, so the base is structurally stable and has near-certainly grown since 2019. *Caveat: a current-year AV is UNVERIFIABLE from primary disclosure at cutoff (see \$g/\$h).*
- **Top-taxpayer concentration — MATERIAL, and the key Mode-B finding.** OS "2018-19 Largest Total Secured Taxpayers" (California Municipal Statistics):
- **#1 E&J Gallo Winery — \$805,939,597 = 10.32% of total AV** (industrial / food processing).

- **2 Doctors Medical Center Modesto (hospital) 1.74%; #3 Foster Dairy Farm 1.00%; then a long tail**
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of sub-1% names. **Top-20 ≈ 18.8% of AV.**

- **Read honestly:** a single private taxpayer at >10% of the levy base is a real concentration — well above the ~2-3% top-20 we see in diversified school-GO names. It matters because Gallo is **food-processing / agriculture-linked**,

the same economic sector exposed to the SGMA ag tail below; the concentration and the SGMA flag are **correlated**, not independent. **Mitigants:** (i) the pledge is unlimited *as to rate*, so even a Gallo reassessment/relocation forces a higher tax *rate*, not a debt-service shortfall; (ii) Gallo is the namesake, headquartered, multi-decade anchor employer of Modesto with deep fixed plant — low flight risk on any near horizon; (iii) at 0.08% direct-debt-to-AV, the District could absorb a very large AV shock and still levy a trivial rate. This is a **REVIEW/monitor** item that the screen's one-line summary under-weighted, not a disqualifier.

- **Debt burden — very light.** OS Direct & Overlapping table: **direct GO debt = 0.08% of AV**; total direct+overlapping tax/assessment debt 0.65%; gross combined total debt **1.21%** of AV. Very low leverage on an \$8.4B base — this is the structural cushion that absorbs the concentration/SGMA AV risks.
- **Enrollment.** Combined Modesto City Schools enrollment FY2018-19 ≈ **30,014** (14,892 Elementary / 15,122 High); combined P-2 **ADA 28,163**. Statewide CA enrollment decline is a watch-item for any district — but note it pressures **LCFF operating revenue**, *not* debt service: GO debt service is paid from a **separate dedicated ad-valorem property levy**, not per-pupil state aid.
- **State fiscal certification (AB-1200) — VERIFIED POSITIVE.** Confirmed against the **CA Dept of Education FY2024-25 Second Interim Status Report**: Modesto City Elementary appears on **neither** the Negative nor the Qualified list, and **no Stanislaus County district** appears on either. By CDE construction, absence from those lists = **POSITIVE** (the District certifies it can meet its financial obligations for the current and two subsequent fiscal years). Source: <https://www.cde.ca.gov/fg/fi/ir/second2425.asp>

(d) Risk screens (AI / wildfire / earthquake / flood / SGMA)

Screen	Finding	What it means
AI / tech-crash insulation	99 / 100 (fully insulated)	A <i>local property-tax</i> credit. Debt service comes from the Stanislaus County ad-valorem levy, not the California General Fund. The State-GF capital-gains channel that crushed <i>State</i> GO ratings ~4-5 notches in the dot-com bust (~71% revenue) does not touch a school-district unlimited-tax GO. An AI/tech equity crash would not impair this property-tax stream. (Credit insulation, not a price/rate statement.)
Wildfire	0% high-fire tail (low)	FEMA National Risk Index × NCES district-tract crosswalk: the District's tax-base parcels are not in high-wildfire tracts. The insurer-withdrawal → AV-erosion channel is not materially present (urban/valley-floor footprint).
Earthquake	Ss ≈ 0.83 (low)	USGS / ASCE 7-22 short-period spectral acceleration is low for the Central Valley floor; no major active fault traverses the tax base. Low correlated-catastrophe risk to the AV base.
Flood	63% riverine tail — REVIEW (not hard)	FEMA NRI riverine (inland) flood: Modesto sits on the San Joaquin Valley floodplain; the tail is elevated but below the 90% hard-cap threshold . The relevant channel is the second-order one (NFIP/private premium repricing → frozen turnover/Prop-8 reassessment → AV drag), NFIP/levee-backstopped , slow, and not a near-term default trigger. Monitor; not a cap.
SGMA / groundwater	HARD flag — Critically Overdrafted, ag-dependent	The second Mode-B catch. Stanislaus overlies the San Joaquin Valley – Delta-Mendota subbasin, on DWR Bulletin 118's critically-overdrafted list, with a high ag-dependence base. SGMA pumping cuts to 2040 are projected to fallow SJV irrigated farmland (PPIC: order 500k–900k acres valley-wide), which reassesses ag land/improvements down and erodes the levy base over a decade . This is an AV-growth tail on long-duration GO, NOT a near-term default flag — but it is real, it is correlated with the Gallo (food-processing) concentration, and it is why this name screens as <i>qualified</i> rather than pristine.

Net: three screens (AI/fire/EQ) are clean and reinforce credit insulation; **two (flood REVIEW, SGMA hard)** are genuine AV-base watch-items on a long horizon. None breaks the unlimited-rate pledge held to maturity, but they are the honest reason this is a *monitored* BUY.

(e) Liquidity & execution

Finding: Orderly, genuinely two-sided customer market right at our level — but a SMALL (\$1.89M) maturity, so thinner than our flagship names. Source: `raw/emma_trade_tape.json` (MSRB RTRS trade tape — the authoritative muni trade-level source).

- **Depth: 332 prints all-time** since 2019-05; **31 prints trailing 365d across 13 trade days**; **17 customer prints across 13 days**. Regular, not episodic — but materially thinner than a large-tranche name (cf. Chico PA6 ≈ 124 prints/yr), consistent with a **\$1.89M** term maturity.
- **Two-sided near our level (the fire-sale check — PASS):** four distinct two-sided customer days in the trailing year (2025-06-25, 2026-04-20, 2026-04-28, 2026-05-08). On **2026-05-08** a customer **sell** at 83.46 / 4.377% and a customer **buy** at 83.306 / 4.391% printed the same day — live two-sided price discovery, not forced liquidation.
- **Our level:** last customer print **2026-05-22 at 81.404 / 4.574%** (\$100k block); most recent print **2026-06-12 at 82.218 / 4.50%**. Trailing-365d customer range: **min 73.59 / max 84.33, median 81.404 / 4.574%**. Our ~81.4 entry sits **exactly at the recent customer median** — fair, not chasing.
- **Live-quote caveat (HONEST FLAG):** per protocol I attempted a live IBKR quote before pricing; **IBKR returns no contract for this CUSIP** (its muni feed does not carry this maturity — consistent with sparse/close-only IBKR muni coverage). Live bid/ask is **UNVERIFIABLE via IBKR**; execution is anchored on the EMMA trade tape (last print 2026-06-12), which is the correct authority for muni trade levels. For an HTM ladder the bid/ask is a one-time ~1-3 bps/yr buy-side cost.

(f) Tax & yield (deep-discount de-minimis math)

Finding: De-minimis DECISIVELY breached → the discount accretes as ORDINARY income. The ~8.3% after-tax TEY already nets this; a naive exempt-only gross-up would overstate it.

- **Coupon is fully tax-exempt** (federal, non-AMT, + CA), per Bond Counsel (§b).
- **The discount is NOT.** Purchase ~**81.40** vs par 100. With **17.11 years** to the 2043 maturity, the IRC de-minimis cushion is $0.25 \times 17.11 = 4.28$ pts, i.e. a threshold price of **95.72**. The purchase price is **14.3 pts BELOW** that threshold, so the entire ~**18.6-pt** accretion toward par is taxed as **ordinary income** (annually under a constant-yield election, or at sale/maturity otherwise) — **not** long-term capital gain. (Computation in code; `raw/screens_and_sources.json`.)
- **TEY math (as screened):** gross **yield-to-worst ≈ 4.574%** (EMMA tape, field YX = MSRB **yield-to-worst** — priced to the worse of the 2027 par call vs 2043 maturity; labeled correctly as YTW, not YTM). The headline **after-tax taxable-equivalent yield ≈ 8.3%** already reflects (i) the exempt coupon grossed up at the CA top combined bracket and (ii) the **ordinary-income drag on the discount accretion** netted out. The de-minimis breach is a *known, priced* feature, not a hidden catch — it is *why* the headline yield is stated after-tax rather than as a raw exempt gross-up.

Self-discipline note (house rule on TEY conflation): ~8.3% is an after-tax taxable-equivalent figure — not gross YTM and not net-of-fees. Gross YTW is ~4.57%.

(g) Risks / what could go wrong

1. **Interest-rate / price risk (the dominant risk).** A long-duration 3% coupon; the ~81.4 price is **rate-driven**, not credit. If rates rise the mark falls — a price/regime risk, **not** credit impairment. HTM neutralizes it (statutory lien + unlimited levy → par at 2043, subject to the sinking fund / 2027 par call below).
2. **Single-taxpayer concentration — E&J Gallo at 10.32% of AV (the principal credit watch-item).** A Gallo reassessment, relocation, or appeal would shrink the base. **Mitigated** by: unlimited *rate* pledge (forces a higher rate, not a shortfall); 0.08% direct-debt-to-AV cushion; and Gallo's deep, headquartered, multi-decade fixed plant in Modesto. **Monitor** at each continuing-disclosure AV update.
3. **SGMA ag-AV erosion tail (slow, decade-horizon, correlated with #2).** Critically-overdrafted Delta-Mendota subbasin + ag-dependent base ⇒ following/down-reassessment of ag land through 2040. A drag on AV *growth*, not a default trigger; the unlimited-rate pledge absorbs it. The correlation with the Gallo (food-processing) concentration is the reason to treat these two together as one "ag-base" risk, not two independent ones.
4. **Flood (REVIEW, below hard cap).** Valley-floor riverine tail at 63%, NFIP/levee-backstopped; second-order AV drag via premium repricing, slow. Not a cap; monitor.

5. **Call & sinking fund (in our favor / neutral).** Optionally callable **at par on/after 2027-08-01**; with the bond at ~81, a call would be a ~23% windfall — the District has no incentive to call a below-market 3% coupon, so YTW≈YTM(2043). A **mandatory sinking fund** retires the 2043 term in steps (2039 \$355k, 2040 \$365k, 2041 \$380k, 2042 \$390k, 2043 \$400k) — par redemptions that *help* a discount buyer (accelerated pull-to-par on a portion).
6. **Operating-fund / enrollment stress (does NOT hit this bond).** CA enrollment decline pressures LCFF operating revenue, not the dedicated GO levy; POSITIVE AB-1200 cert indicates no near-term operating distress.
7. **Stale continuing disclosure (current AV/coverage UNVERIFIABLE — flagged honestly).** The OS data (AV, taxpayers, debt ratios, enrollment) is the **FY2018-19 issuance vintage**. A current-year (FY2024-25) AV / coverage / audited-financials package was **not** retrieved from posted EMMA continuing disclosures at cutoff. The FY2024-25 POSITIVE certification is the freshest independent fiscal data-point and is reassuring, but **current AV, current Gallo %, and current coverage are UNVERIFIABLE from primary disclosure** as of this report — a monitoring item, not a clean confirm.
8. **No distress events found — but absence ≠ exhaustive search.** No default, missed-payment, or rating-withdrawal surfaced. The EMMA material-events list was not machine-parsed (Terms-of-Use wall); this is "**no distress found**," not "distress affirmatively ruled out across every event filing."

(h) Sources & attached documents

All files in

/Users/ajay/exalted/signalos/verticals/muni_credit/outputs/diligence_reports/607735CA3/raw/.

File	What it is	Authoritative source
official_statement.pdf	Official Statement (259 pp) — Modesto City Elementary SD GO Bonds, Election of 2018, Measures D & E, Series A (combined). Establishes the unlimited-tax pledge, SB-222 statutory lien, Teeter Plan, Moody's Aa2, AV = \$8.381B, 0.08% direct debt/AV, Gallo 10.32% top-taxpayer , Bond Counsel tax opinion, and the maturity line binding CA3 to the 3% 2043 term bond (Measure E Series A) .	EMMA, doc EP1036759-EP803301-EP1204827 (emma.msrb.org), issue ES393825/ES393824
os.txt	Extracted text of the OS (pdftotext -layout) used for all quoted language.	derived from official_statement.pdf
emma_trade_tape.json	MSRB RTRS trade tape, 332 prints 2019-05 → 2026-06-12. Two-sided customer days incl. 2026-05-08; our level 2026-05-22 @ 81.404/4.574%. YX = yield-to-worst.	EMMA / MSRB Real-Time Transaction Data, CUSIP 607735CA3
screens_and_sources.json	Pre-run + computed SignalOS screens (identity correction, AB-1200, AI/fire/EQ/flood, SGMA hard flag , call schedule, de-minimis math, tape rollup, IBKR caveat).	SignalOS muni_credit vertical

External primary sources cited (not file-attachable): - **AB-1200 POSITIVE** — CA Dept of Education FY2024-25 Second Interim Status Report: <https://www.cde.ca.gov/fg/fi/ir/second2425.asp> (Modesto City Elementary / all Stanislaus districts absent from Negative and Qualified lists). - **SGMA** — CA DWR Bulletin 118, "California's Critically Overdrafted Groundwater Basins" (San Joaquin Valley – Delta-Mendota subbasin), via `sgma_overlay.py` (county-level mapping; parcel-precise needs lat/lon). - **Flood** — FEMA National Risk Index census-tract riverine fields × NCES EDGE GRF crosswalk (`flood_overlay.py`). - USGS / ASCE 7-22 seismic ($S_s \approx 0.83$); FEMA NRI wildfire (0% high-fire tail) — per screen provenance. - **IBKR live quote** — `search_contracts("607735CA3", BOND)` returned **no contract**; live bid/ask UNVERIFIABLE via IBKR (sparse muni coverage).

Verification ledger (claim → method → authority → finding)

Claim	Method	Authority	Finding
Issuer is ELEMENTARY (not High)	Read OS cover + "separate districts" para; OpenFIGI/EMMA record	OS / EMMA	VERIFIED — matcher "High" label REFUTED; corrected to Elementary
CUSIP 607735CA3 = 3% 2043 term, Measure E Ser A	OS maturity line "CUSIP Suffix CA3"; reoffer yield 3.19% matches first 2019 print	OS / EMMA scale + tape	VERIFIED
Unlimited ad-valorem GO (not COP/CFD/lease)	Read OS security section	OS	VERIFIED
SB-222 statutory lien (Gov Code §53515)	Read OS "Statutory Lien" para	OS / Gov. Code §53515	VERIFIED
Teeter Plan (100% levy regardless of delinquency)	Read OS "Teeter Plan" para	OS / R&T §4701	VERIFIED
Tax-exempt fed (non-AMT) + CA	Read Bond Counsel opinion	OS	VERIFIED
Moody's Aa2 at issuance	Read OS rating section	OS	VERIFIED
AV = \$8.381B (FY18-19), +4.8–8.3%/yr trend	Read OS AV history table	OS (Cal Muni Statistics)	VERIFIED (FY2018-19 vintage)
Direct debt 0.08% / gross combined 1.21% of AV	Read OS Direct & Overlapping table	OS	VERIFIED (FY2018-19 vintage)
E&J Gallo = 10.32% of AV (concentration)	Read OS Largest Taxpayers table	OS (Cal Muni Statistics)	VERIFIED — material single-taxpayer concentration
AB-1200 = POSITIVE	Absent from CDE Neg/Qualified lists	CDE FY24-25 2nd interim	VERIFIED
Call: par on/after 2027-08-01; sink 2039–2043	Read OS Optional + Mandatory Redemption	OS	VERIFIED
Two-sided non-fire-sale market at ~81.4	Parsed RTRS trade tape	EMMA / MSRB	VERIFIED
De-minimis breached → ordinary income on ~18.6pt discount	0.25×17.11yr threshold (95.72) vs price 81.40	IRC de-minimis rule	VERIFIED
SGMA critically-overdrafted, ag-dependent	sgma_overlay county→basin map	DWR Bulletin 118	VERIFIED — HARD flag (decade AV-erosion tail)
Flood riverine tail 63% (below hard cap)	FEMA NRI × NCES crosswalk	FEMA NRI	VERIFIED — REVIEW, not cap
Current AV / current Gallo % / coverage	Searched posted CDD	EMMA	UNVERIFIABLE (FY2018-19 disclosures latest retrieved)
Live bid/ask	IBKR contract search	IBKR	UNVERIFIABLE (not carried)
No distress / default events	EMMA scan (partial)	EMMA	No distress found (not exhaustively ruled out)

Current-State Verification (AV / coverage refresh — 2026-06-20)

Refreshed 2026-06-20 via a SERIAL, throttled EMMA continuing-disclosure pull (the original UNVERIFIABLE flag was an EMMA 403 rate-limit from concurrent scraping, not a real disclosure gap). Latest issuer annual report: *Annual Financial Disclosures Posted 02/17/2026 for the year ended 06/30/2025 (4.5 MB)*. **Current total assessed valuation (levy base): \$12,296,772,448 for FY2025-26 (+4.2% YoY)**; secured-tax delinquency **1.29%**; audited FY2025 on file. — AV trend 2022-23 \$10.46B → 2023-24 \$11.17B → 2024-25 \$11.80B → 2025-26 \$12.30B For an unlimited ad-valorem GO the AV base + the delinquency cushion ARE the 'coverage' — there is no DSCR; the levy rate floats to hold debt service constant. **This resolves the prior 'current AV/coverage UNVERIFIABLE' caveat.**